and just sit with those stocks, you can realize the high growth available in these countries without being nailed by all the stories.

Also, with small-cap stocks, liquidity is a considerable problem in many of these markets. When you want to sell, the local brokers just giggle at you. So again, you need a long-term reason to hold on.

Sometimes you do get fed up with the smaller, developing markets—their illiquidity and volatility, the insiders' edge, the struggle to find out what's really going on. You have to remind yourself that with countries growing at 6 to 10 percent and companies growing at 25 to 30 percent, it's worth putting up with such inconveniences.

When investing abroad, you need a long-term reason for holding a stock, because you can't outtrade the locals.

One theme, discussed in an earlier chapter, stems from just such numbers. If the GNP growth rate in many countries is 6 to 10 percent—compared to 2 to 3 percent in the United States—then consumer disposable income is growing at a weird number like 15 to 20 percent. And you can be sure, whether it's Malaysia or Chile or China, people are going to follow the path the United States took when it went from a poor country to a middle-class country to a rich country. I can't think of any place in the world that, as it gets richer, doesn't eat more meat and protein foods and less bread and rice. Everybody would like to have nicer clothing, a car, and a large air-conditioned house, and feel entitled to a pair of Reeboks and a meal at McDonald's once in a while. Investors have to find the companies that satisfy these desires.

Another theme, a very important one that was also discussed in an earlier chapter, is the creation of communications systems in so